

Entrepreneurship, Startup Management and Venture Creation

A note to students: This assessment is not testing whether you know business terminology or can recall definitions from a textbook. It is designed to understand how you think about problems, opportunities, and the decisions involved in building something from scratch. Students who are genuinely well suited for Entrepreneurship at university level tend to notice gaps that others walk past, think practically about how to solve real problems, and are comfortable making decisions when the outcome is uncertain. Read each scenario carefully, think it through, and choose the answer that reflects the most entrepreneurial thinking.

Section 1: Opportunity Recognition and Problem Solving

Q1. A student notices that every morning, hundreds of office workers near her home spend fifteen to twenty minutes waiting in a queue at a single busy tea stall before their commute. The stall owner seems overwhelmed. Several people leave without buying anything. What is the most entrepreneurially alert response to this observation?

A) Assume the stall owner is aware of the problem and will fix it eventually B) Recognise that a recurring, unmet need exists and begin exploring whether a faster or more convenient alternative could serve those customers C) Conclude that the tea stall has a monopoly and the market is therefore not worth entering D) Report the stall to local authorities for causing congestion

Q2. A student living in a small town notices that elderly residents frequently struggle to book doctor appointments online because they are unfamiliar with the technology, and their families are often unavailable to help. He mentions this to a friend who says it is not a real business opportunity because the affected population is small. What is the most entrepreneurially sound assessment of this situation?

A) The friend is correct because small markets are never worth pursuing B) The size of the problem matters less than whether the people affected feel it acutely enough to pay for a solution, and a deeply felt problem in a small market can be a valid starting point C) The student should wait until the elderly population in his town becomes more comfortable with technology before acting D) This is a social problem and therefore cannot form the basis of any commercial venture

Q3. A student has an idea for a mobile app that helps school students track their homework assignments. Before building anything, she wants to understand whether the idea is worth pursuing. Which action would give her the most useful information at this stage?

A) Register a domain name and design a logo to establish the brand before testing the concept B) Build a basic version of the app and launch it immediately to see if anyone downloads it C) Spend time talking directly to students, teachers, and parents about how they currently manage

assignments and what frustrates them most D) Research how many homework tracking apps already exist in international markets

Q4. Two students identify the same problem: local vegetable vendors lose significant produce to spoilage because they cannot predict daily demand accurately. Student A immediately begins designing a technology solution. Student B first spends two weeks speaking with twenty vendors about their daily routines, income pressures, and what tools they already use. Whose approach is more likely to produce a solution that actually works?

A) Student A, because speed of execution is the most important factor in entrepreneurship B) Student A, because technology solutions are always superior to manual approaches in solving business problems C) Student B, because understanding the people you are designing for in depth produces solutions that are far more likely to fit their real needs and constraints D) Both approaches are equally valid because there is no single correct way to begin solving a problem

Q5. A student notices that her school canteen throws away a large quantity of unsold food at the end of each day while many students leave school hungry because they cannot afford canteen prices. She sees both a waste problem and an affordability problem in the same place. What does this most directly illustrate about how entrepreneurs find opportunities?

A) Entrepreneurs primarily look for opportunities in large, well-established markets B) Problems that already exist in familiar environments, especially where two issues intersect, can reveal opportunities for solutions that create value for multiple groups simultaneously C) School environments are not suitable for entrepreneurial activity because they are too regulated D) The student should focus on only one of the two problems rather than attempting to address both

Section 2: Entrepreneurial Decision-Making

Q6. A student has saved Rs. 40,000 and is considering launching a small business selling handmade products online. A well-meaning relative advises her to wait until she has saved at least Rs. 2,00,000 so she can "do it properly." What is the most entrepreneurially sound response to this advice?

A) Follow the advice completely because more capital always leads to better business outcomes B) Recognise that starting small with available resources allows her to learn, test, and refine her approach at low risk, and that waiting for perfect conditions often means never starting C) Ignore the advice entirely because relatives never give useful business guidance D) Use the Rs. 40,000 to hire a consultant who can help her plan the larger launch

Q7. A first-year student has launched a small tutoring service and has two paying customers. A classmate offers to help run the operation in exchange for a share of the revenue. The founder is

unsure whether to bring in a partner this early. What is the most important question she should consider before deciding?

A) Whether her classmate is popular enough to attract more customers through their social network B) Whether the workload genuinely requires additional help right now, and whether this person brings skills or capacity that she cannot provide herself at this stage C) Whether sharing revenue will make the business appear less serious to potential customers D) Whether her classmate has prior experience running a tutoring business

Q8. A student running a small online clothing business receives an unexpected order that is five times larger than anything he has handled before. He does not currently have the stock, packaging, or delivery capacity to fulfil it on time. What is the most entrepreneurially sound immediate response?

A) Accept the order, take full payment, and figure out the logistics afterwards B) Decline the order immediately and focus only on the scale he is comfortable with C) Contact the buyer honestly, explain his current capacity, propose a realistic timeline, and explore whether a partial or phased fulfilment would work D) Accept the order and subcontract the entire fulfilment to another business without informing the buyer

Q9. A student has been working on a business idea for six months and has invested significant time and some money into it. New research she has found suggests the market she was targeting is much smaller than she originally believed and the idea may not be commercially viable. What is the most entrepreneurially mature response?

A) Continue investing time and money because she has already committed too much to stop now B) Take the new information seriously, objectively assess whether the idea can be adapted to a more viable opportunity, and be willing to change direction if the evidence suggests it is necessary C) Dismiss the research as unreliable because it contradicts the assumptions she has been working with D) Launch the business immediately before the situation gets worse

Q10. Two friends want to start a food business together. Friend A wants to spend the first three months perfecting the recipes before selling anything. Friend B wants to start selling at a local market within two weeks using a simpler version of the menu, gather customer feedback, and improve from there. Whose approach is more consistent with sound entrepreneurial thinking?

A) Friend A, because quality must be established before any customer interaction takes place B) Friend B, because getting real customer feedback early is more valuable than privately perfecting a product that has not yet been tested in the market C) Friend A, because launching too early permanently damages a brand's reputation D) Both approaches are equally valid because different entrepreneurs have different working styles

Section 3: Customers, Markets and Value Creation

Q11. A student launches a healthy snack business targeting fitness-conscious adults. After two months, she notices that her actual buyers are mostly parents purchasing the snacks for their children's school lunches. What is the most commercially intelligent response to this discovery?

A) Ignore the pattern because the original target customer was adults and the business plan should not change B) Recognise that the market has revealed something important and actively explore whether serving parents and children could be a stronger commercial opportunity than the original target C) Assume the fitness-conscious adult market will eventually grow and continue pursuing it exclusively D) Reduce prices to attract the adult customers she originally intended to serve

Q12. A student wants to launch a premium study desk designed for students, priced at Rs. 18,000. A friend points out that most students and families in their area typically spend Rs. 3,000 to Rs. 5,000 on study furniture. What is the most important commercial question this raises?

A) Whether the desk can be manufactured at a lower cost so margins are preserved at the lower price point B) Whether there is a segment of buyers in the market who both value premium study furniture and can afford Rs. 18,000, and whether that segment is large enough to sustain the business C) Whether competitors selling cheaper desks can be legally prevented from operating in the same market D) Whether the student should change the product entirely and sell something with broader price appeal

Q13. A group of students creates a free app that helps users track their daily water intake. Within three months, the app has 8,000 active users. A potential investor asks how the business makes money. The students have not yet thought about this. What does this situation most directly illustrate about building a business?

A) That free products can never become successful businesses B) That having users is a necessary but insufficient condition for a business: a clear model for generating revenue must be developed alongside product growth C) That the students should immediately begin charging all 8,000 users a subscription fee D) That investor questions about revenue are premature for a product that is only three months old

Q14. Two businesses sell the same type of product at the same price. Business A competes primarily by running frequent discount offers. Business B rarely discounts but invests heavily in making the buying experience exceptionally smooth, reliable, and pleasant. Which business is building a more durable competitive position, and why?

A) Business A, because price promotions are the most effective way to build customer loyalty in any market B) Business B, because an experience that is consistently better than alternatives

builds genuine preference and reduces the customer's motivation to switch, whereas price-based competition can always be matched or undercut C) Both businesses are equally durable because different customers respond to different types of incentives D) Business A, because customers always make decisions primarily based on price regardless of their experience

Q15. A student plans to launch a premium tutoring service in a city where dozens of affordable tutoring options already exist. A mentor tells her that simply being better is not enough to build a successful business. What is the mentor most likely referring to?

A) That quality improvements are impossible to achieve in tutoring because the service is entirely dependent on individual teacher ability B) That even if the service is genuinely superior, potential customers need a clear and compelling reason to switch from familiar options, and communicating that difference effectively is as important as the quality itself C) That premium pricing in education is never accepted by Indian families regardless of perceived quality D) That the tutoring market is too saturated for any new entrant to succeed regardless of the quality of the offering

Section 4: Resilience, Leadership and Entrepreneurial Mindset

Q16. A student running a small event photography business loses a significant client to a competitor who offered a lower price. She is disappointed but has two weeks before her next booking. What is the most productive use of that two-week period from an entrepreneurial perspective?

A) Immediately lower her prices to match or beat the competitor across all future work B) Use the time to reflect on what the lost client valued, whether the price difference was the real issue or a symptom of something else, and identify what she could strengthen in her offering or communication C) Reach out to the lost client repeatedly to try to win the business back D) Conclude that price-sensitive clients are not worth pursuing and wait for better clients to appear

Q17. A student founder has been working on his startup for eight months. Progress has been slower than expected, two early team members have left, and he has received several rejections from potential customers. Friends suggest he take a break or reconsider the idea. Which response best reflects the mindset of an effective entrepreneur in this situation?

A) Accept that the setbacks are signs the idea is fundamentally flawed and begin considering alternatives B) Dismiss all criticism from people who have not personally built a business C) Take the feedback and evidence seriously, distinguish between problems that reflect fixable execution issues and those that suggest a deeper problem with the idea itself, and make an informed decision about whether and how to continue D) Announce publicly that the startup is doing well to maintain confidence among supporters

Q18. A student is leading a small team working on a school-based business project. One team member consistently misses deadlines, which is affecting the whole group. The student leader has avoided raising it directly because she does not want to create conflict. What does this situation most directly illustrate about entrepreneurial leadership?

A) That team harmony should always be prioritised over individual accountability B) That avoiding difficult conversations about performance ultimately harms the team more than the discomfort of addressing the problem directly, and that effective leaders create a culture of honest, respectful accountability C) That the underperforming team member should be removed from the project immediately without discussion D) That deadline management is an administrative issue rather than a leadership one

Q19. A student founder gets an opportunity to present her business idea to a group of experienced business professionals. Their feedback is largely critical: they challenge her assumptions, point out risks she had not considered, and suggest her financial projections are optimistic. What is the most entrepreneurially productive way to receive this feedback?

A) Defend every aspect of the original plan to demonstrate conviction and confidence B) Dismiss the criticism as coming from people who are too risk-averse to understand an ambitious new idea C) Treat the session as a highly valuable source of information, identify which challenges are genuine blind spots worth addressing, and use the input to build a stronger and more realistic plan D) Revise the entire plan immediately to incorporate every suggestion made, regardless of whether each one makes sense for the specific business

Q20. A student has a strong business idea and high personal motivation but realises she lacks the technical knowledge to build the product she has envisioned. A classmate suggests this is a reason to abandon the idea. What is the most entrepreneurially sound response to this constraint?

A) Agree with the classmate and wait until she has acquired the necessary technical skills before returning to the idea B) Recognise that not having every skill personally is normal in entrepreneurship, and explore whether the gap can be addressed by learning the basics, partnering with someone who has the skill, or hiring for it when resources allow C) Simplify the idea to the point where no technical knowledge is required, even if this significantly reduces its value D) Proceed with building the product herself without acquiring the necessary knowledge and hope the gaps do not matter

Answer Key and Explanations

Question Correct Answer

Q1 B

Q2	B
Q3	C
Q4	C
Q5	B
Q6	B
Q7	B
Q8	C
Q9	B
Q10	B
Q11	B
Q12	B
Q13	B
Q14	B
Q15	B
Q16	B
Q17	C
Q18	B
Q19	C
Q20	B

Q1. Answer: B Entrepreneurial opportunity recognition begins with noticing friction and unmet needs in everyday situations. A recurring problem that causes people to abandon a transaction is a strong signal that demand exists and that there may be room for a better solution.

Q2. Answer: B Market size is one consideration but not the only one. A small market where the problem is deeply felt and where no good solution exists can be a valid and profitable starting point, particularly for a first venture where manageable scale is itself an advantage.

Q3. Answer: C The most common and costly mistake in early-stage entrepreneurship is building before understanding. Direct conversations with potential users reveal whether the problem is real, how people currently cope with it, and what a solution would need to look like to actually be used.

Q4. Answer: C Solutions that are designed without deep understanding of the user tend to solve the problem the designer imagined rather than the problem the user actually has. Spending time in genuine conversation before building significantly increases the chance that the eventual solution fits real needs and circumstances.

Q5. Answer: B Many strong entrepreneurial opportunities arise at the intersection of two existing problems in a familiar environment. Noticing that waste and unmet need exist simultaneously in the same place, and that solving one could address the other, reflects exactly the kind of observational thinking that leads to viable ideas.

Q6. Answer: B Waiting for perfect conditions is one of the most common reasons entrepreneurial ideas never become reality. Starting with available resources at small scale generates real learning that cannot be obtained through planning alone, and the lessons from early action are worth far more than the additional capital gained by waiting.

Q7. Answer: B Bringing in a partner early is a significant decision with long-term implications. The right question is whether the business genuinely needs what this person offers right now, not whether having a partner would feel more comfortable or socially easier to manage.

Q8. Answer: C Honesty with customers about capacity constraints, combined with a genuine attempt to find a workable solution, builds more durable trust than either refusing the opportunity outright or accepting it without the ability to deliver. The way a business handles difficulty reveals more about its character than how it handles easy situations.

Q9. Answer: B The ability to update beliefs in response to new evidence is one of the most important and difficult skills in entrepreneurship. Continuing to invest in an idea because of what has already been spent, rather than what is likely ahead, is a well-documented pattern that leads entrepreneurs to persist long past the point where changing direction would have been the better choice.

Q10. Answer: B Early customer contact produces information that cannot be obtained in any other way. A simpler product that gets tested and refined by real users will almost always outperform a privately perfected product that has never encountered the unpredictability of actual customers and real-world conditions.

Q11. Answer: B The market often knows things the founder does not. When a pattern of actual buying behaviour emerges that differs from the original assumption, the entrepreneurially

intelligent response is to treat it as data rather than a problem to be corrected, and to explore whether it points toward a more viable opportunity.

Q12. Answer: B Pricing must be matched to a real segment of buyers who both want the product and can afford it. If the target price sits significantly above what most of the accessible market spends, the business needs to identify whether a smaller but genuinely addressable premium segment exists and whether it is large enough to sustain the venture.

Q13. Answer: B Users are not the same as revenue. Many products attract engaged audiences without generating any income, and the absence of a revenue model eventually makes the product unsustainable regardless of how many people enjoy it. Building a user base and building a business are related but distinct challenges that must both be addressed.

Q14. Answer: B Competitive advantages built on price are fragile because any competitor can match or undercut them. Advantages built on experience, reliability, and genuine customer preference are far harder to replicate and create a much more durable reason for customers to keep coming back.

Q15. Answer: B In a market with many existing options, quality alone does not move customers. People have inertia: they stick with familiar choices unless given a clear, credible reason to switch. Communicating the specific and meaningful difference between a new offering and the existing alternatives is a commercial challenge as real as the product challenge itself.

Q16. Answer: B Losing a client is a source of information, not just disappointment. The most productive response is to investigate what actually drove the decision, since price is often the stated reason but rarely the only one, and to use that understanding to make the business stronger before the next opportunity arises.

Q17. Answer: C Resilience in entrepreneurship is not about ignoring evidence of problems: it is about thinking clearly under pressure and distinguishing between challenges that can be overcome with better execution and those that signal a more fundamental issue requiring a change of direction. Honest assessment under difficulty is a mark of maturity rather than weakness.

Q18. Answer: B Avoiding difficult conversations about performance is one of the most common leadership failures in early-stage teams. The discomfort of a direct conversation is temporary, while the damage caused by unaddressed underperformance compounds over time and eventually affects everyone in the group.

Q19. Answer: C Critical feedback from experienced practitioners is among the most valuable inputs an early-stage founder can receive. The productive approach is to mine it for genuine

insights while also applying judgment about which specific suggestions fit the particular business, rather than either defending everything or accepting everything uncritically.

Q20. Answer: B No founder has every skill required to build a business, and recognising that fact is a strength rather than a weakness. Entrepreneurship involves identifying what is missing and finding ways to address those gaps, whether through learning, partnership, or hiring, rather than either abandoning ideas or proceeding recklessly without addressing real deficiencies